PRESS RELEASE

Ohio Based Nonprofit and Affiliated Nursing Homes Agree to Pay $3.61M to Resolve False Claims Act Liability

Tuesday, June 3, 2025

For Immediate Release

Office of Public Affairs

American Health Foundation (AHF), its affiliate AHF Management Corporation, and three affiliated nursing homes — Cheltenham Nursing & Rehabilitation Center (Cheltenham), The Sanctuary at Wilmington Place (Wilmington Place), and Samaritan Care Center and Villa (Samaritan) — have agreed to pay $3.61 million to resolve claims related to billing Medicare and Medicaid for grossly substandard skilled nursing services between 2016 and 2018. AHF is a nonprofit corporation that is headquartered in Dublin, Ohio, and owns and controls nursing homes in Ohio and Pennsylvania. Cheltenham is a 255-bed nursing home located in Philadelphia, Pennsylvania; Wilmington Place is a 63-bed nursing home located in Dayton, Ohio; and Samaritan is a 56-bed nursing home located in Medina, Ohio.

"Nursing homes are expected to provide their residents, which include some of our most vulnerable citizens, with quality care and to treat them with dignity and respect," said Deputy Assistant Attorney General Brenna Jenny of the Justice Department's Civil Division. "The Department will not tolerate nursing homes — or their owners or managing entities — abdicating these responsibilities and seeking taxpayer funds to which they are not entitled."

The United States' complaint, filed in June 2022, alleged that the aforementioned three AHF nursing homes provided grossly substandard services that failed to meet required standards of care in various ways. For example, the United States alleged that each facility failed to follow appropriate infection control protocols and had problems maintaining adequate staffing levels. The United States also alleged that Cheltenham housed its residents in a dirty, pest-infested building; gave its residents unnecessary medications, including antibiotic, antipsychotic, antianxiety, and hypnotic drugs; deprived its residents of their dignity by subjecting them to verbal abuse, leaving them without meaningful activities or stimulation, and failing to safeguard their possessions, including money, clothing, and other personal items; and failed to provide needed psychiatric care. The United States similarly alleged that Wilmington Place had repeated failures relating to resident mediations, including the provision of unnecessary drugs, and persistently failed to create and maintain crucial resident care plans and assessments.

Finally, the United States alleged that Samaritan had repeated failures related to resident care plans and assessments, and housed residents in a building and on grounds that often were not safe and sanitary.

Contemporaneously with the settlement announced today, the AHF entities agreed to enter into a chain-wide, quality of care Corporate Integrity Agreement with the United States Department of Health and Human Services, Office of Inspector General, which will remain in effect for five years and address quality of care and resident safety within the AHF entities' skilled nursing facilities.

The case is captioned *United States v. American Health Foundation Inc.; AHF Management Corporation; AHF Montgomery Inc. doing business as Cheltenham Nursing and Rehabilitation Center; and AHF Ohio Inc. doing business as The Sanctuary at Wilmington Place and doing business as Samaritan Care Center and Villa*, Case No. 2:22-cv-02344 (E.D. Pa.).

The resolution obtained in this matter was the result of an effort by the Civil Division's Commercial Litigation Branch, Fraud Section, with assistance from the U.S. Department of Health & Human Services' Office of Inspector General. This matter was handled by Fraud Section attorneys Ben Young and Susan Lynch.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

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